NVIDIA Corporation

NVDA NASDAQ

Buy	$183.31 ▼ 8.40%	12M Price Target	52-Week Range	Market Cap
		$220.00	$164.27 – $243.37	$4.43T

NVDA: AI Regulation Fears Spark $1.4T Rout — Overdone?

WHAT HAPPENED

- NVDA cratered 8.4% on heavy volume (221M shares — almost 50% above recent average), and it wasn't company-specific news. The trigger was a Yahoo Finance segment framing yesterday's election results as "America voted against AI," plus Reuters reporting the Nasdaq is having its worst day in 19 months on AI regulation fears. Translation: the market is suddenly pricing in a political backlash against AI that it wasn't pricing in last week.
- The options market is leaning bearish fast — put/call ratio at 0.82 with massive unusual activity in near-term $185 and $190 puts (nearly $90M in notional). Big money is paying up for downside protection into November, which tells you institutions think there's more pain coming before this stabilizes.

WHY IT MATTERS

Here's the thing — NVDA didn't get worse overnight, the *narrative* did. When a mega-cap drops 8% on sentiment rather than earnings, that's usually a buying opportunity for patient money, but the catch is that sentiment can feed on itself for weeks. The $1.4T lost since October's peak means we've now wiped out roughly a full NVDA-of-two-years-ago in market cap, which suggests the easy-money AI trade is done and from here, NVDA has to earn it with actual numbers. What to watch: if hyperscalers (Microsoft, Google, Meta, Amazon) start walking back their 2027 capex guidance in response to political pressure, that's the real thesis-killer — NVDA's revenue is literally a function of those four checkbooks.

POLICY & POLITICAL WATCH

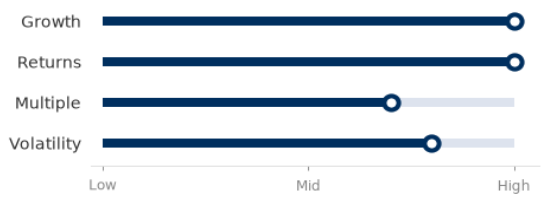
The post-election narrative is that voters pushed back on AI (likely tied to job displacement concerns and energy/grid strain from data centers), which could embolden Congress to move on AI safety legislation that's been sitting in committee. Watch for any renewed push on the AI Accountability Act or state-level AI moratoriums — California and New York have bills that could create compliance costs across the AI stack. The bigger wild card is China: the Trump administration's export controls on advanced chips are still in flux, and any expansion to NVDA's China-compliant chips (the H20 successor) would knock out roughly 10-15% of revenue overnight.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$183.31**
12M Price Target	**$220.00**
Upside / (Downside)	**+20.0%**
Market Cap	**$4.43T**
FY2026E Revenue	**$215M**
FY2027E Revenue	**$285M**
FY2026E EPS	**$4.85**
FY2027E EPS	**$6.40**
Fwd P/E	**37.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$205.00**	$190.00	**$170.00**
6 Months	**$240.00**	$210.00	**$160.00**
1 Year	**$280.00**	$220.00	**$150.00**
2 Years	**$340.00**	$260.00	**$140.00**
5 Years	**$500.00**	$350.00	**$120.00**
10 Years	**$800.00**	$500.00	**$100.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples and Communications Services held up best today (-0.36% each) — classic defensive rotation. Money is hiding in things that make money regardless of the AI narrative.

COOLING OFF: Energy (-8.73% over 5 days) is getting crushed, partly because AI data center power demand was a bull thesis for natural gas and nuclear — if AI slows, so does that trade. Semis obviously leading the carnage.

ROTATION WATCH: Money is rotating OUT of growth/AI and INTO defensives and bonds — this is a "risk-off" day, not a sector rotation into another growth theme. That usually resolves within 2-4 weeks either with a V-bottom or a grinding selloff.

RELATED PLAY: If the AI trade stabilizes, the "picks and shovels" names that got oversold with NVDA — think Vertiv (VRT), Eaton (ETN), and the data center REITs like Equinix — often bounce harder because they were collateral damage.

WHO'S WINNING IN THIS SPACE?

- WMT (Walmart): Defensive consumer play catching bids as money flees tech — nothing to do with their business, everything to do with being not-AI
- BRK.B (Berkshire Hathaway): The ultimate "I don't trust this market" trade — Buffett's cash pile looks smart on days like today

NVDA CONTEXT: NVDA is leading the AI selloff lower, not lagging — AMD is also down hard today per the Motley Fool headline. When the #1 name in a theme leads the decline, it usually means the whole theme needs to reset before anything rallies. Don't try to catch this knife on day one; wait for a down day where NVDA closes green despite a weak tape — that's the real signal.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $175-185 zone, add aggressively under $170

Time Horizon: 12-24 months

Thesis Invalidation: Hyperscaler capex guidance cut >15%, or China export ban expanded to H20-successor chips

Hedging: Buy SOXS or pair with long TLT (Treasuries rally if growth scare continues)

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